

¹²The buyer of CDS protection on a bond (i.e., the short seller) pays premiums equivalent to the bond interest rate payments, in effect, creating a synthetic bond. These synthetic bonds can be bundled into a synthetic CDO, which has the same income stream as a CDO consisting of the same physical bonds. Since savvy traders, such as Burry, bought protection on the bonds with the worst quality mortgages (i.e., went short those bonds), the resulting synthetic CDOs were composed of securitizations ideal for shorting.

¹³The precipitating event in August 2007 was the drying up of liquidity in money markets. This episode is discussed in the Colm O'Shea interview (Chapter 1).